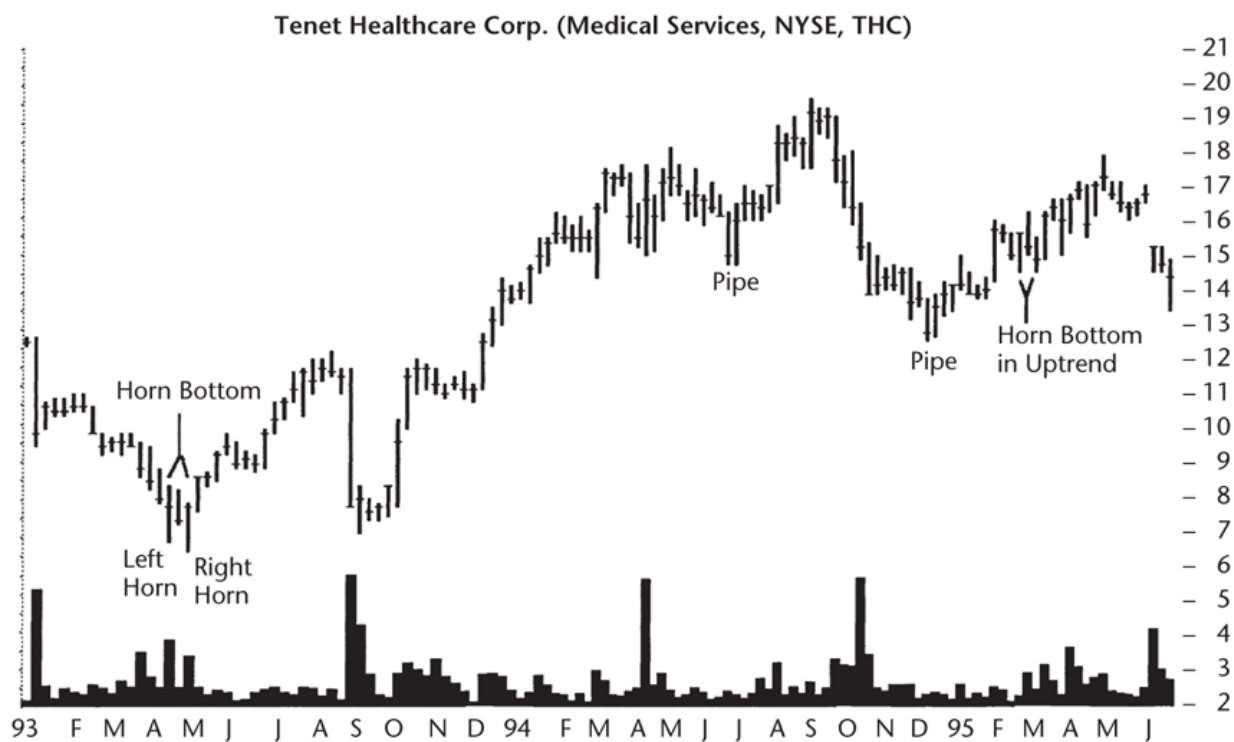




**Figure 43.2** Two examples of horns, one in a downward trend and one in an uptrend. Notice that the right *pipe* calls the bottom turn exactly.

The two spikes share the same low price, 14.50, and have good price overlap (as the right spike almost completely overlaps the left one). You can argue that the separation of the horn low from the surrounding weeks is not exceptional when compared with the pipe formations in early December and late June. That is certainly true, but most of the price bottoms over the prior year show remarkably even bottoms, not a jagged coastline (few tall spikes, in other words).

**Breakout direction, confirmation.** Because we're dealing with a bottom pattern, the breakout is always upward. The twin bottom pattern confirms as a valid horn bottom when price closes above the highest high in the 3-week pattern. Without confirmation, you have no horn.

## Focus on Failures

Even though horn bottoms sport a low breakeven failure rate, they still fail. Consider [Figure 43.3](#), which shows a 5% failure or a horn bottom. A 5%